

in terms of ARPU (average revenue per user or quarterly revenue divided by the daily active users) numbers. Shah says Snap here will go into, what he calls, a “flywheel effect”—the momentum when small wins accumulate over time creating significant growth—if its strategy is localised. “Obviously, the ARPU of around \$8 per quarter in the US will not be seen here, but the scale can be unprecedented. Investors eventually will take to the monthly active user and daily active user numbers coming from India.”

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ADVERTISING IS SNAP’S bread and butter (it accounts for 99% of its revenue). Marketers pick Snapchat as an effective engagement platform to reach out to a very critical target audience. Calling it the “elusive youth demographic”, Chandrika Jain, Director (Marketing) at Lenovo India, picks out a few areas that make Snapchat stand apart. “Leveraging its ephemeral nature from a brand-building perspective, short-form content-based ads (6 seconds or 15 seconds) seem native to run on the platform. With short-form video ads, brands can get up close and personal with their audience, build trust and showcase their catalogue,” she says.

In a market environment where social media firms fight for attention and consequently revenue, the ability to stand apart is key. Jain points out that Snapchat scores in addressing a highly engaged base of around 200 million monthly active users and “providing a good ad experience”. Also, the use of innovative technologies like AR helps in the ad experience.

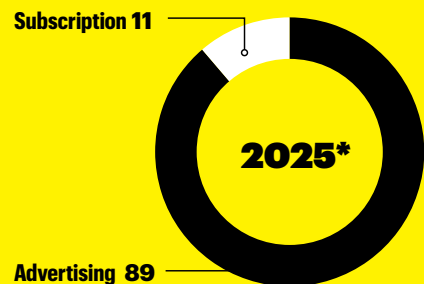
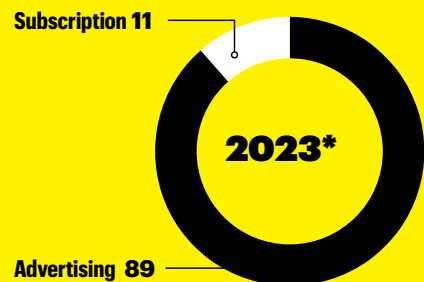
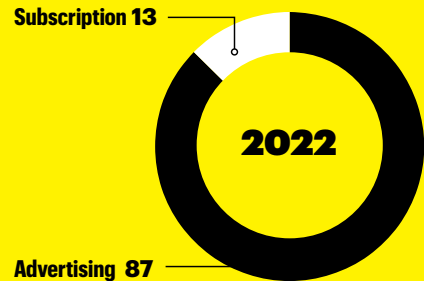
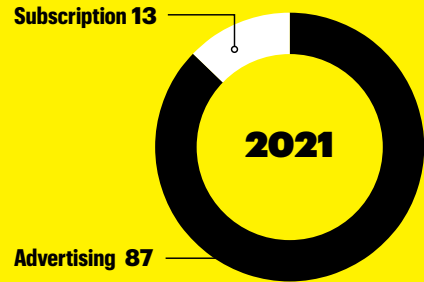


PULKIT TRIVEDI
MANAGING DIRECTOR
(INDIA), SNAP INC.

“With a sizeable user base of over 200 million plus our leadership in AR, we want to monetise effectively building a robust business foundation”

ADVERTISING CONTRIBUTES THE LION’S SHARE TO DIGITAL REVENUES

- With more brands coming aboard, ad’s share will continue to be large
- Subscription is still characterised by a limited number of players



*ESTIMATES

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